

The Vita Coco Company Inc

COCO US Equity · Company Research · Charlie Trenorden · As of 27 Aug 2026

BUY

Target US\$75.00 · Current US\$63.57 · +18% · 12 months

In Brief

The shares trade at the 89th percentile of their own cash-flow multiple, 24% below their high, on a business the filings support as narrow-moat. Both growth and the multiple sit near the top of their own ranges, so the case depends on the growth lasting.

- Revenue has compounded at +13% a year over 3 reported years, without a single down year.
- At today's price a buyer is paying for roughly 5.7 years of growth at the rate this business has actually achieved.
- At 26.8 times forward earnings against a peer median of 18.1, the shares are 48% dearer than the group.
- The shares sit 24% below their all-time high.
- The strongest power is branding. Overall a narrow moat.
- 8 of 12 analysts rate the shares a buy, on a target implying +27%.

How the Target Is Built

Consensus Target	US\$83.56
This View vs Consensus	-10%
• 32x FY2027 earnings per share of US\$2.34 • US\$2.34 is consensus, corroborated by Needham's FY2027 EBITDA of US\$173m • 32x against 18-21% organic growth in a category compounding near 30% • Street target of US\$83.56 is 37x the same earnings	

What has to hold

- Organic growth holding 18-21% once Copra is stripped out
- Gross margin near the 40% guided, not back toward FY2025's 36.5%

Key Statistics

Share Price	US\$63.57
52-Week Range	US\$33.52 - 84.02
Market Capitalisation	US\$3.68B
Shares Outstanding	57.9M
Cash Less Long-Term Liabilities	US\$184M
Long-Term Liabilities / Operating Income	0.2x
Drawdown From 52-Week High	-24.3%
Return vs S&P 500, Oct 2021-Aug 2026	2.8x

Financial Summary

Revenue has compounded at +13% a year over 3 reported years, without a single down year.

	FY22	FY23	FY24	FY25	FY26 (cons.)
Revenue growth		+15.4%	+4.5%	+18.2%	+31.1%
Revenue (m)	428	494	516	610	799
Gross profit (m)	103	181	199	223	
Operating income (m)	3	56	74	83	
Net income (m)	8	47	56	71	
Free cash flow (m)	-12	107	42	39	
Gross margin	24.2%	36.6%	38.5%	36.5%	
Operating margin	0.7%	11.4%	14.3%	13.5%	
Free cash flow margin	-2.8%	21.6%	8.1%	6.4%	
Return on capital employed	7.7%	27.8%	28.5%	23.9%	

The latest year grew +18%, ahead of the +13% multi-year rate, so growth is accelerating rather than fading.

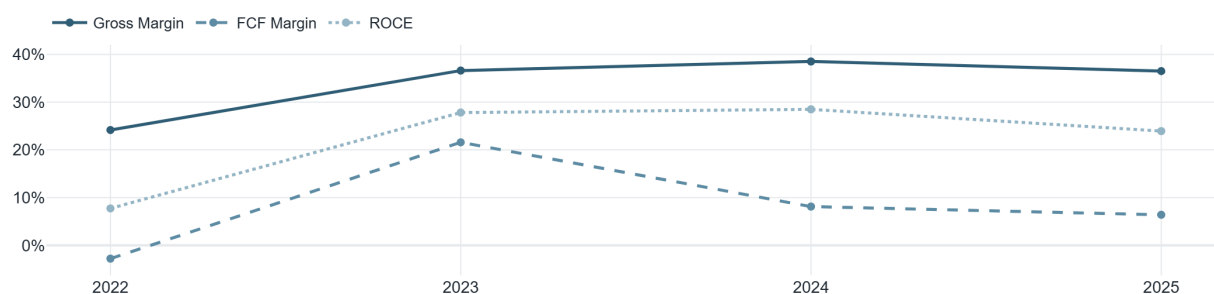


Figure 1: Margins and Return on Capital

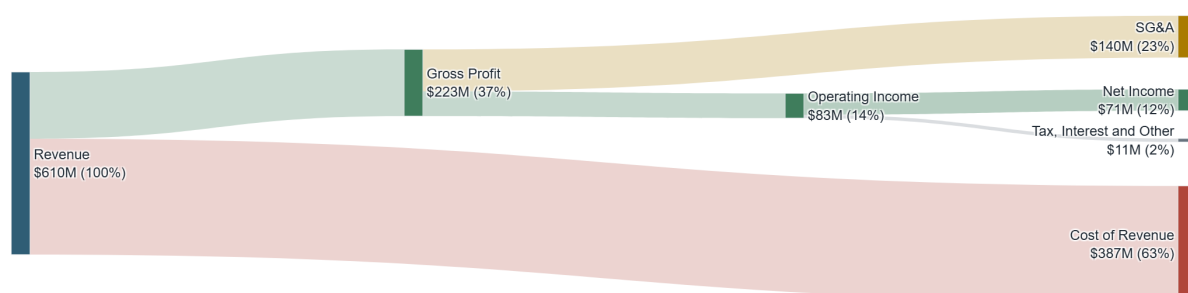


Figure 2: Revenue to Net Income, Latest Year

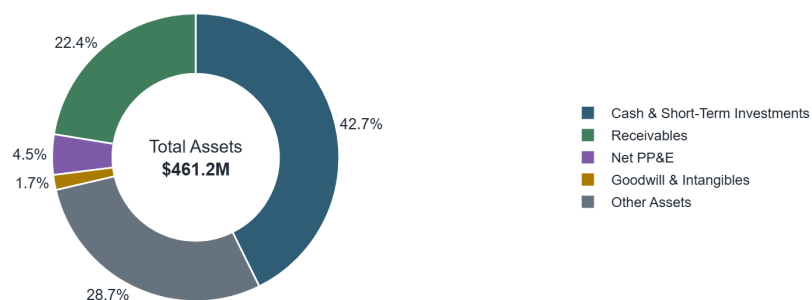


Figure 3: Composition of Total Assets

Valuation and Implied Expectations

At today's price a buyer is paying for roughly 5.7 years of growth at the rate this business has actually achieved.

Current P/FCF (trailing)	92.98
Percentile of Own History	89
Median, Own History	47.49
5th Percentile	12.69
95th Percentile	108.27
Free Cash Flow Implied by That Multiple	\$40M
Free Cash Flow, Latest Reported Year	\$39M
P/FCF on Reported Cash Flow	94.26
Implied Change in Free Cash Flow	+96%
Price Move if the Multiple Reverts	-49%
Growth Delivered, 3-Year Annual	+12.5%
Years of That Growth in the Price	5.7

Measured against the 12.5% growth the business has actually delivered over the past three years, that is 5.7 years of future growth already in the price.

Growth here is the aggregate company figure, because no share-count history was available to convert it to a per-share basis. Where a company funds itself by issuing equity, the per-share rate will be lower than the figure shown.



Figure 4: Price to Free Cash Flow, 3-Year History



Figure 5: Price to Free Cash Flow against Three-Year Revenue Growth

Relative Valuation

At 26.8 times forward earnings against a peer median of 18.1, the shares are 48% dearer than the group.

Price / earnings, forward (consensus)	26.8x (+48% vs peers)
Price / earnings, latest reported year	51.6x
EV / EBITDA, forward (consensus)	24.4x (+82% vs peers)

The peer group	Value
Median price / earnings	18.1x
Median EV / EBITDA	13.4x
Range, price / earnings	6.2x to 36.5x
Comparators	4

Peer	Price / Earnings	EV / EBITDA
Celsius Holdings	20.2x	15.6x
Monster Beverage	36.5x	30.8x
National Beverage	16.1x	11.2x
Simply Good Foods	6.2x	5.9x

Price and Drawdown

The shares sit 24% below their all-time high.

Current Drawdown	-24.3%
5th Percentile Drawdown	-41.8%
1st Percentile Drawdown	-49.4%
Max Drawdown vs 6M High	-25.9%

A 24% drawdown is deep by its own standards: the median over the past decade is 14%, and today's reading sits at the 25th percentile of that history. The shares last touched a high 70 days ago.

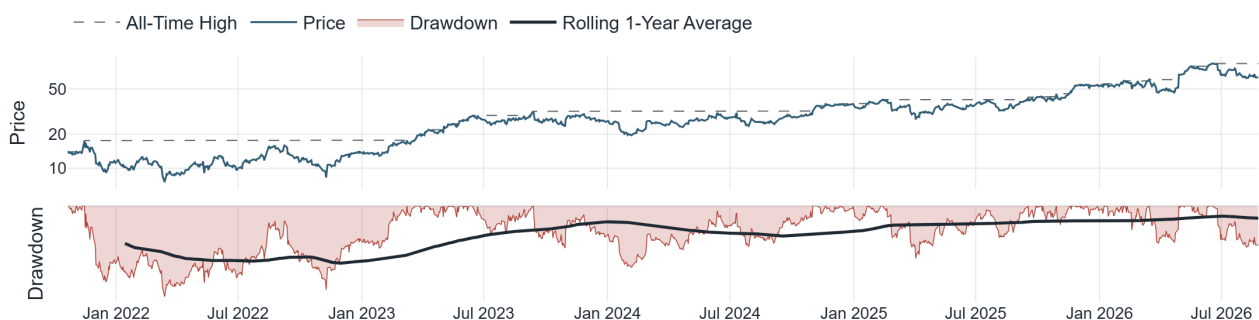


Figure 6: Price, All-Time High and Drawdown (log scale)

Competitive Position

The strongest power is branding. Overall a narrow moat.

Overall moat assessment: narrow. Scored from the filings.

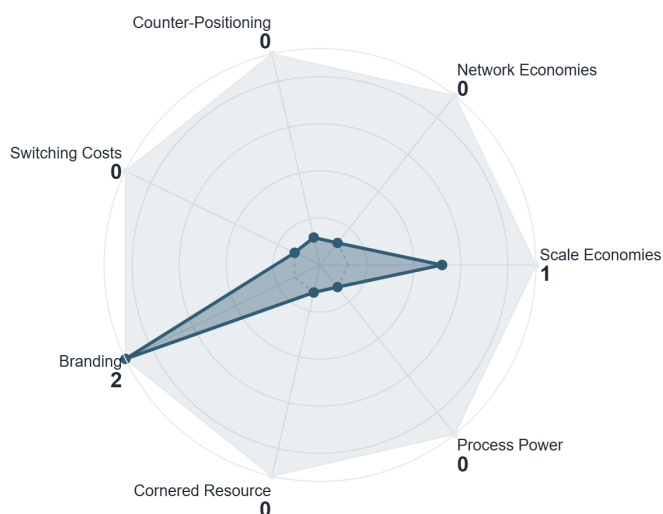


Figure 7: Competitive Advantage, Scored Zero to Three. Outer edge 2, inner ring zero

- **Scale Economies** (1 of 3): Largest buyer in a niche category gives sourcing and shelf leverage, but the FY2025 gross margin fall to 36.5% on tariffs shows the limit.
- **Branding** (2 of 3): Leading US coconut water brand; retail dollars growing in line with a 29% category rather than lagging it - a real willingness-to-pay premium, and the only power scoring above 1.
- Not evidenced: Network Economies, Counter-Positioning, Switching Costs, Cornered Resource and Process Power.

Consensus and Expected Return

8 of 12 analysts rate the shares a buy, on a target implying +27%.

Consensus as at 31 Jul 2026.

Buys	8 (67%)
Holds	4 (33%)
Sells	0 (0%)
12M Target Price	83.89
Return Potential	+27.2%

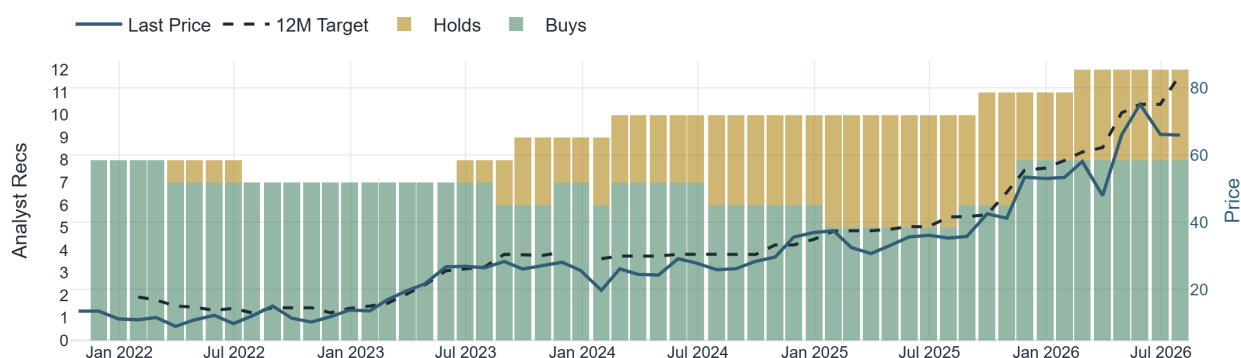


Figure 8: Consensus Recommendations and Twelve-Month Target

Return Potential

Consensus has only been this optimistic 2 times before, too few to say what usually follows.

Analyst-target-implied return potential, from periods within $\pm 2.5\%$ relative of the current reading (2 distinct episodes).

Current Reading	27.2%
Consensus Target Used	83.89
Price at That Observation	65.94
Same Target at Today's Price	+32.0%
Historical Average	14.5%
Current vs Average	+12.8%
Peak	67.4%

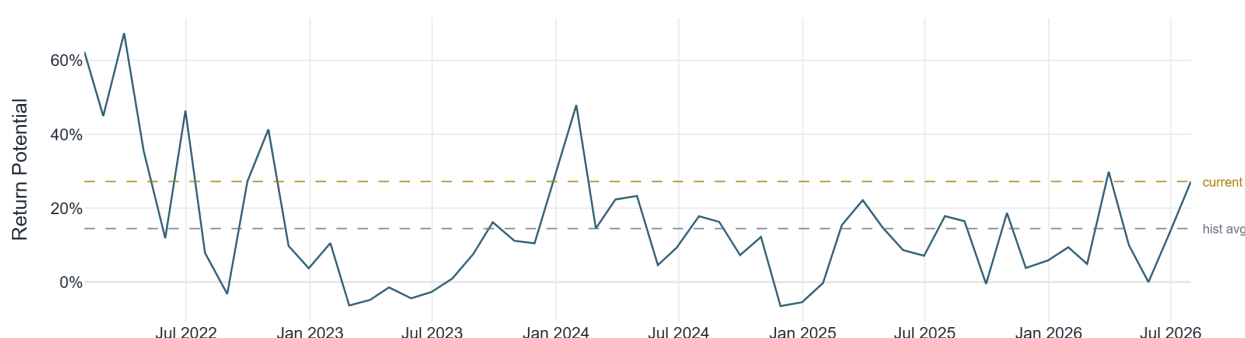


Figure 9: Analyst-Implied Return Potential, 4-Year Record

Qualitative Assessment

What The Business Does

Vita Coco sells packaged coconut water, and the brand is the category leader in the United States. Around it sit a coconut milk range, an oil line, and PWR LIFT, a protein-infused fitness drink. A second, deliberately smaller business supplies private-label coconut water to retailers under their own names. Two earlier brands were discontinued: Runa, a guayusa energy drink, in December 2023, and Ever & Ever.

It manufactures nothing. Coconut water is sourced from the Philippines and Brazil and packed by third parties, which is why property and equipment is US\$8.9m against sales approaching US\$800m. What the company owns is the brand, the supply relationships and the shelf position. That is the whole model, and it explains both the returns on capital and the vulnerability to freight and input costs.

Revenue reports in two segments, Americas and International, and in three product lines within each:

FY2025, US\$m	Branded	Private label	Other	Total
Americas	424.3 (+23.6%)	62.7 (-30.2%)	21.7	508.8
International	71.9 (+43.0%)	26.0 (+34.3%)	3.1	101.0

Two customers account for 44% of net sales, so the route to market is a small number of large retail relationships rather than a long tail.

The Financial Record

Cash is US\$278.6m against no meaningful debt, and net debt to adjusted EBITDA was negative 2.0x at 30 June.

US\$m	FY2023	FY2024	FY2025	H1 2026
Net sales	493.6	516.0	609.8	395.9
Growth		+4.5%	+18.2%	+32.1%
Operating income	56.5	73.8	82.5	96.7

FY2026 guidance was raised to US\$790-805m with adjusted EBITDA of US\$154-161m.

Mix is the structural part. FY2025 Americas branded grew 23.6% while low-margin private label was allowed to fall 30.2%. That shift lifts gross margin every year it continues.

The category is growing faster than the company. Coconut water retail dollars grew 29% in the US and 65% in measured European markets; Vita Coco branded grew 29% and 57%. The brand is holding share in a category compounding near 30% rather than fighting for it.

Why The Reported Quarter Overstates The Run Rate

Q2 2026	Reported	Ex-refund
Net sales	+28.1%	+28.1%
Gross margin	48.7%	41.5%
Operating income	+151%	+89%
Net income	+116%	+64%

In February 2026 the US Supreme Court ruled IEEPA tariffs unlawful. Vita Coco recovered US\$15.6m, booked against cost of goods sold, and the company calls it a one-time benefit. It is 24% of Q2 net income and roughly 80% of the earnings beat.

The underlying beat was real. Stripping the refund, gross margin came in about 2 percentage points ahead of expectations and the adjusted EBITDA beat was around 15%. The quarter is flattered, not hollow.

The street is not extrapolating the windfall. Analysts modelled it as one-off and have Q3 gross margin at roughly 36%, a six-point sequential fall from Q2's ex-refund level; one house expects a further 200 basis points of gross margin contraction across FY2027. The FY2027 upgrades were driven by the Copra acquisition and category momentum, not by the refund.

Copra Changes The Margin Arithmetic

Closed 22 July 2026: US\$175m upfront, 80% cash and 20% stock, with an earnout of US\$45-100m payable in 2029 on 2028 performance, so up to US\$275m in total. That is roughly 1.75x Copra's 2026 sales of over US\$100m, and the stock component adds about 0.8% to the share count.

Copra is largely private label, at a lower gross margin than the existing business. Management expects it to be accretive to adjusted EBITDA margin after integration, but the FY2026 gross margin guide of about 40% is a blend that already absorbs that dilution alongside the tariff refund and lower ocean freight. So the 40% guide already carries that dilution.

Quality And The Moat

Return on invested capital	2020	2021	2022	2023	2024	2025
%	32	15	2	25	24	20

2022 is the whole risk in one number. Freight and input costs took returns on capital from 32% to 2% in two years. Vita Coco has real brand equity, and it did not prevent that.

- Branding is the primary power and the only one scoring above 1: category leader, with retail dollars growing in line with the category rather than lagging it.
- Scale economies are partial: sourcing and shelf leverage in a niche category, with the FY2025 gross margin fall to 36.5% showing the limit.
- Not evidenced: network economies, switching costs, cornered resource, counter-positioning, process power.

Leadership And Ownership

		Since	Holding
Michael Kirban	Co-founder, Executive Chairman	2004	5.6%
Martin Roper	Chief Executive	CEO 2022	3.6%
Corey Baker	Chief Financial Officer	2023	under 1%
Jonathan Burth	Chief Operating Officer		under 1%
Jane Prior	Chief Marketing Officer		under 1%
Charles van Es	Chief Commercial Officer		under 1%

The founder is still there and still holds 5.6%; Roper ran the business as co-chief executive from 2021 before taking the role outright in 2022, and holds 3.6%. Between them that is roughly 9% of the company, which is ownership rather than an incentive scheme. Baker joined from PepsiCo in 2023.

Outside holders are conventional index and active managers: BlackRock 11.6%, FMR 9.0%. Verlinvest, a beverage-focused investor, holds 5.4% and has the right to nominate directors under an investor rights agreement, so a strategic holder sits on the register with governance rights attached.

Concentration

Share of net sales	H1 2026	H1 2025
Customer A	22%	20%
Customer B	22%	25%

Two customers are 44% of net sales and three suppliers are 43% of purchases. A shelf-space decision at one retailer moves a fifth of revenue.

Primary Risks

- The multiple is full. Roughly 30x normalised earnings, and 37x on the street's own target against a mid-range FY2027 estimate.
- The margin gain is partly borrowed. Ocean rates fell and a tariff exemption landed. Neither is a moat, and analysts are split on how durable the freight benefit is.
- The 2022 precedent stands unaddressed. Nothing since has changed the input exposure.
- International is decelerating, from 67% growth in the first half to about 30% guided for the second.
- The guidance raise is substantially inorganic, split between Copra and the refund rather than organic outperformance.

The four that would change the rating, ordered by how likely each is:

Risk	Likelihood	What would show it
Freight and input costs reverse	Medium - it has happened once in five years	Gross margin falling back toward the FY2025 36.5%
Category growth normalises	Medium - 29% is not a rate anything sustains indefinitely	Retail scan data decelerating from 29%
Copra dilution larger than guided	Medium-low - management has guided the blend	Full-year gross margin undershooting ~40%
Loss at a top-two customer	Low - but the largest is the one that grew, 20% to 22%	Americas volume falling against a growing category

What To Watch

Q3 2026, due 28 October, laps the refund quarter. Consensus already has earnings per share stepping to about US\$0.53 from US\$0.82 and gross margin near 36%, so the decline is expected rather than informative. Three things are:

- Organic revenue growth excluding Copra. Guidance implies 18-21%. That rate is the thesis; the acquisition is not.
- Gross margin against the ~40% full-year guide, remembering it already blends Copra's lower-margin private label.
- Receivables against sales. They grew 62% at the half against sales up 32%.